> have been under the absolute management of the Company's servants, ever since Mir Jafar's restoration to the *subahship;* and they have, both civil and military, exacted and levied contributions from every man of power and consequence, from the Nawab down to the lowest zamindar.

The Company's authorities on their part set out to gather the rich harvest and drain Bengal of its wealth. They stopped sending money from England to purchase Indian goods. Instead, they purchased these goods from the revenues of Bengal and sold them abroad. These were known as the Company 's Investment and formed a part of its profits. On top of all this the British government wanted its share of the rich prize and, in 1767, ordered the Company to pay it £400,000 per year.

In the years 1766, 1767 and 1768 alone, nearly £5.7 million were drained from Bengal. The abuses of the 'dual' government and the drain of wealth led to the impoverishment and exhaustion of that unlucky province. In 1770, Bengal suffered from a famine which in its effects proved one of the most terrible famines known in human history. People died in lakhs and nearly one-third of Bengal's population fell victim to its ravages. Though the famine was due to failure of the rains, its effects were heightened by the Company's policies.

Wars Under Warren Hastings (1772–85) and Cornwallis (1786–93)

The East India Company had by 1772 become an important Indian power and its directors in England and its officials in India set out to consolidate their control over Bengal before beginning a new round of conquests. However, their habit of interfering in the internal affairs of the Indian states and their lust for territory and money soon involved them in a series of wars.

In 1766 they joined the Nizam of Hyderabad in attacking Haidar Ali of Mysore. But Haidar Ali forced the Madras Council to sign a peace-treaty on his terms. Then, in 1775, the English clashed with the